
THE NETHERLANDS 2007

1. Overview of the tax-benefit system

Dutch social security provides several incomes replacement schemes under the employee's insurance act (e.g. unemployment insurances), the national insurance act (e.g. child benefits) and the Act for work and social assistance. Earnings related unemployment insurance pays 75% (first two months) and 70% for the remaining months of the last earned wage for a period of time dependent on employment record. Short-term non-earnings related unemployment benefits pay 70% of the minimum income. Supplements are available for those whose benefits are lower than the minimum income. After the unemployment benefit expires, social assistance is available conditional on a means test and registration at the job office. A system of family related benefits is universally available. Housing costs can be covered by a separate individual benefit. Unemployment and social assistance are taxable, family and housing benefits are not. Earnings related benefits are based on gross earnings. In general, the information refers to the situation on 1st January and 1st July 2007.

1.1. *Average Worker wage (AW¹)*

The 2007 AW level is EUR 42 000.

1. AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2005-2006, OECD, 2007, part 5, sections 2 and 3.

2. Unemployment insurance

The unemployment benefit (WW) includes two types of benefits:

1. the earnings related benefit 4 months up to 38 months depending on employment record),
2. the short-term benefit (max. 3 months) for persons that are not eligible for 1. (wage related)

The unemployment benefits might be supplemented by the “Supplementary Benefits Act” (TW), if the benefit is below minimum income.

2.1 Conditions for receipt

Entitlement to unemployment benefits dependent on the claimant seeking employment and being registered with the local employment agency.

2.1.1 Employment conditions

- *Earnings-related benefit*: to have worked 26 weeks in the last 36 weeks immediately preceding unemployment, plus to have worked at least 52 days or more during four of the last five years. Calendar years during which the person cared for children under 6 count for 50% of this requirement. From 2007 onwards years spend on intensive care for ill or handicapt people also count for 50% of labour years.
- *Short-term earnings-related benefit* 26 weeks in the last 36 weeks immediately preceding unemployment.

2.1.2 Contribution conditions

- *Earnings-related benefit*: at least 52 days in paid employment (hence contributed) in four of the last five years preceding unemployment. Insurance is compulsory for employees.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Salary-related unemployment benefit is 75 or 70 per cent of former gross earnings up to a maximum daily wage of EUR 174,64 per day (5 days per week, that is EUR 45 406.40 per year).

In the first two months you will receive 75% of the wage most recently earned, thereafter 70%.

Gross minimum wage per month, 2007 (in EUR)

		Including holiday pay
Year	1317.00	1422.36

The gross minimum holiday pay is 8% of the gross minimum wage.

Supplementary Benefits Act (TW)

The TW provides assistance to people who get a benefit from one of the employee insurance schemes (such as the WW, Wajong, WAO, or ZW schemes) if their income (plus that of their partner) falls below the minimum guaranteed income (this being the gross legal minimum wage plus 8 per cent holiday pay divided by 21.75).

Supplementary benefit equals the difference between the applicable minimum guaranteed income level and the total income of the beneficiary and his or her partner.

As of 1 January 2007, the minimum guaranteed incomes were set as the following gross amounts

Family situation	Per cent of minimum wage
Single person	70%
Lone parents	90%
Married persons and couples living together	100%

The term “income” covers all work-related earnings, including most social security benefits, of claimants and their partner. Any property such as a private home, or capital such as savings, is disregarded.

For two years at most, part of the work-related income (up to a maximum of 15% of the minimum wage) is disregarded. The maximum period of two years does not account for persons older than 57.5 years.

Supplementary benefit will never be more than the difference between the daily earnings or the basis on which the benefit has been calculated and the benefit to recompense for loss of income.

There is no entitlement to supplementary benefit:

- For unmarried persons under 21 living with their parents.

- For persons living with a partner (either married or not) born after 31 December 1971 who do not have any children under 12 living at home.

2.2.2 *Income and earnings disregards*

If the claimant works less than 5 hours/week, gross benefit is reduced by 70 per cent of gross earnings.

If hours exceed 5, the total benefit is reduced in proportion to the number of hours worked

2.3 *Tax treatment of benefit and interaction with other benefits*

Taxable

2.4 *Benefit duration*

The duration of the earning-related benefit varies with the employment record. In this table it is assumed that the person has been working full time from 18 years of age onwards.

Duration of the earning-related benefit

Employment (years)	Duration (
1	3 months
2	3 months
3	3
4	4months
5	5 months
6 to 38 and higher	6 to maximum 38 months

Short-term benefit: 3 months.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

None.

2.5.2 *Older workers*

Employees of 55 years or older who excepted a lower paid function or who started working less hours keep the right on a wagherelated unemployment insurance based on there last full-time salary (with a max. of 90% from the daily wage after reducing the salary).

Benefit stops with the person turning 65 years of age.

2.5.3 *Others if applicable*

part-time: If hours exceed 5, the total benefit is reduced in proportion to the number of hours worked

3. **Unemployment assistance**

3.1 ***Conditions for receipt***

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 ***Calculation of benefit amount***

3.2.1 *Calculation of gross benefit*

3.2.2 *Income and earnings disregards*

3.3 *Tax treatment of benefit and interaction with other benefits*

3.4 *Benefit duration*

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance

The Dutch National Assistance Act guarantees a minimum income to any Dutch inhabitant who does not have sufficient means of existence. Beneficiaries are mainly persons who are no longer entitled to benefits under the social insurance schemes such as unemployment insurance benefits and disability benefits and persons without a work record.

4.1 Conditions for receipt

Entitlement to social assistance is – in general - dependent on the claimant seeking employment and being registered with the local employment agency

4.2 Calculation of benefit amount

General social assistance payments are intended to cover normal costs of living, including the costs of food, housing, heating, furniture and recreation. The Dutch national government specifies three minimum basic benefit payment rates. There are three basic rates for persons between 21 and 65 years of age related to family composition.

4.2.1 Calculation of gross benefit

General social assistance (Wwb) in 2007

Family situation	Proportion of the subsistence minimum	Gross yearly benefit incl. Holiday pay	Corresponding net yearly benefit	
			Holiday allowance: excluded	included
Couples	100%	16938,6	14236,44	14954,28
Lone parent families*	90%	15473,88	12812,88	13315,32
Single, 21 or older*	70%	13069,59	9965,64	10324,56

* 20% is awarded by municipalitites

4.2.2 Income and earnings disregards

General assistance: no disregards; one-to-one income-test using the household net income. Family benefits and individual housing benefits are excluded from the income-test. Savings and assets worth over EUR 5 2450 (EUR 10 490 for couples and lone parents) are taken into account. The own dwelling is disregarded only up to a certain maximum EUR 44 300 If the value of the house minus the mortgage exceeds this maximum, the recipient can get social assistance as a loan.

The exception to the rule of the one-to-one income test is for social assistance recipients who start working. The municipality can decide that a social assistance recipient is allowed to keep a certain amount of earnings from work: during 6 month 25% of the earnings up to a maximum of EUR 179 per month. It is up to the municipality to decide this and to decide the level of disregard. After six month the general rule of one-to-one income testing is resumed.

Disregarded are always: a bonus for assistance recipients that took up work (up to EUR 2 133) and compensation payments for voluntary work up to EUR 95 per month with a maximum of EUR 764 per year (if voluntary work is done in a reintegration trajectory this amount may be raised to €150 a month with a maximum of € 1500 a year)

4.3 *Tax treatment of benefit and interaction with other benefits*

The level of general assistance is defined on its net value; a net income level is guaranteed.

The income taxes on the social assistance benefit are not paid by the recipient, who thus receives a net benefit, but are transferred to the tax inspector by the municipality that is administering the benefit.

4.4 *Benefit duration*

- General assistance (Wwb): as long as there is a need.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

Young people between 18 and 21 years of age are deemed to be in work, education or in the WIW (Law Involving Sheltered Employed). Furthermore, until the age of 21 parents are supposed to provide financial support to their children. Therefore, municipalities are only obliged to provide benefits to applicants in this age group in exceptional circumstances. For a young person only sickness insurance contributions need to be paid from gross benefits.

General national assistance for young persons in 2007	Net yearly benefit	Net yearly benefit	Gross yearly benefit
	Excluding holiday pay	Including holiday pay	Including holiday pay
Single < 21 years with children	5307,12	5574,72	5738,73
One is >21 years and one is <21, with children	12425,4	13051,92	14454,48
Both <21 years old, with children	7767	8158,56	9308,64
Single <21 years, no children	2459,76	2583,84	2659,90
Both <21 no children	4919,64	5167,68	5319,80

One>21 one<21, no children	9578,16	10061,04	10357,04
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4.5.2 *Older workers*

4.5.3 *Others if applicable*

Lone parents must start looking for work if their youngest child is 5 years or older.

Housing benefits

Housing benefit is based on rent levels restricted by minima and maxima and dependent of taxable family income. Housing benefits must be applied for separately from social assistance. They are also separately paid and calculated from social assistance benefits. However, the social assistance income level is generally that low that all benefit recipients should be entitled to housing benefits as well, if they apply for it. Housing benefits will be calculated from the social assistance benefit or the gross unemployment benefit as reference for the income.

5.1 *Conditions for receipt*

All families, whether dependents are present or not, are eligible.

5.2 *Calculation of benefit amount*

5.2.1 *Calculation of gross benefit*

Housing benefit is based on current rent levels and taxable income. The underlying principle is that every household always pays part of the rent itself. This is referred to as the “standard rent”. In 2007 the monthly standard rent for people with a minimum income was EUR 199 (households with two or more people aged 65 or older), EUR 201 (a person aged 65 or older living alone) and EUR 203 (households containing people under 65). There was a higher standard rent for people with a higher income.

The process for awarding housing benefits 2007

Step 1: Determines the kind of household

The standard rent (in Dutch basishuur) is the minimum amount of rent a household has to pay themselves. It depends on the size of the household and the age of the inhabitants. There are 4 different standard rent tables (see Annex A). The table show for each kind of household the standard rent according to the calculated income (rekeninkomen) of the particular household type. The following kind of households are defined:

- Single person household (single on 1-1-2007 younger than 65 years);
- More person household (min 2 persons; primary earner younger than 65 years on 1-1-2007)
- Single person household (single 65 years or older on 1-1-2007)
- More person household (min 2 persons; primary earner 65 years or older on 1-1-2007).

The composition of the household and the age of the inhabitants is of importance for the own contribution (standard rent of normhuur) and the maximum level (aftoppingsgrens, huurprijs; the level at which no subsidy or only 50% of the subsidy can be awarded) and the maximum means level (Vermogensgrens).

Step 2: Determines the maximum rent level (aftoppingsgrens)

The maximum level for a full benefit is the rent above which level in principle no subsidy is paid. For a one- or two person household the maximum rent level is € 492, for a household with 3 or more persons it is € 527.

If the rent is higher than the maximum rent level, only 50% rent subsidy is paid for the exceeding amount, and only if it considers a single person household or a household with at least one person above 65 years or a handicapped person in adjusted accommodation. Monthly house rents up to EUR 622 qualify for housing benefits.

Note, the maximum rent level for a person younger than 23 years is € 343.

Step 3: Determines the calculated income

In order to determine the rent subsidy a specific calculated income (rekeninkomen) is estimated. This is the total income of the persons belonging to the household in the current year (2007) including:

Taxable income:

- income from work and accommodation
- rent from capital income
- interests

Afterwards, the (estimated) taxable income is confronted with actual taxable income. The difference in actual and estimated income may leads to a different rent subsidy, which will be recalculated and settled with the receiver.

Step 4: determine the standard rent

All income of the household is summarized. For children up to 23 years an amount of € 4204. Euro is excluded from the calculations.

In the standard rent table the household type can be seen (own contribution) that belongs with the calculated income.

Step 5: Determine the calculated rent (rekenhuur)

A specific calculated rent will be calculated which forms the basis for the rent subsidy. This amount is depending on a number of factors, such as upkeep costs.

Step 6 – calculate the amounts to be subsidized at 100%, 75%, and 50%.

Three levels of benefit are paid in the case of rents above the standard rent:

The difference between the standard rent and the “quality allowance limit” (EUR 343 in 2007) is paid completely (=100%).

75% of the costs of any additional rent above the “quality allowance limit” is paid. The idea behind this is that people should pay a contribution if they rent a more expensive (and therefore better quality) home.

The amount by which the rent exceeds the “cap” (in 2007 this is EUR 492 for one and two person households and EUR 527 for three or more person households) is only eligible for benefit in the case of people aged 65 and older, people living alone and the handicapped. They receive benefit amounting to 50%.

Monthly house rents up to EUR 622 qualify for housing benefits.

5.2.2 Income and earnings disregards

Households are eligible for housing benefits if their income is lower than EUR 20 300 for a single younger than 65, or EUR 27 575 for a household (highest earner must be younger than 65) , or EUR 18 250 for a single aged 65 or older, or EUR 24 275 for a household if the highest earner is 65 years or older.

Next, their capital must be lower than EUR 20 014 for a single or EUR 40 028 for a household, . For people over 65 these figures can be raised with max €26 500 depending on taxable income (the maximum of €26 500 applies for households older than 65 with an income under €13 540).

5.3 Tax treatment of benefit

Not taxable

5.4 Treatment of particular groups

5.4.1 Young persons

The maximum rent level above which benefits cannot be calculated are EUR 343 per month for persons under 23.

5.4.2 Older workers

None.

Annex A - Standard rent table (Normhuurtabellen Huurtoeslag) 2007(1 July-31 December)

Standard rent table single household (< 65)

Ondergrens	Bovengrens	Normhuur	Taak	Basishuur
0	14.425	184,85	18,10	202,95
14.426	14.450	190,24	18,10	208,34
14.451	14.675	193,43	18,10	211,53
14.676	14.900	199,25	18,10	217,35
14.901	15.125	205,16	18,10	223,26
15.126	15.350	211,15	18,10	229,25
15.351	15.575	217,22	18,10	235,32
15.576	15.800	223,39	18,10	241,49
15.801	16.025	229,64	18,10	247,74
16.026	16.250	235,97	18,10	254,07
16.251	16.475	242,39	18,10	260,49
16.476	16.700	248,90	18,10	267,00
16.701	16.925	255,49	18,10	273,59
16.926	17.150	262,17	18,10	280,27
17.151	17.375	268,94	18,10	287,04
17.376	17.825	279,25	18,10	297,35
17.826	18.275	293,29	18,10	311,39
18.276	18.725	307,69	18,10	325,79
18.726	19.175	322,42	18,10	340,52
19.176	19.625	337,50	18,10	355,60
19.626	20.075	352,93	18,10	371,03
20.076	20.300	364,72	18,10	382,82

Standard rent more persons household (< 65)

Ondergrens	Bovengrens	Normhuur	Taak	Basishuur
0	18.500	184,85	18,10	202,95
18.501	18.675	192,35	18,10	210,45
18.676	18.900	196,28	18,10	214,38
18.901	19.125	200,74	18,10	218,84
19.126	19.350	205,25	18,10	223,35
19.351	19.575	209,81	18,10	227,91
19.576	19.800	214,42	18,10	232,52
19.801	20.025	219,08	18,10	237,18
20.026	20.250	223,79	18,10	241,89
20.251	20.475	228,55	18,10	246,65
20.476	20.700	233,36	18,10	251,46
20.701	20.925	238,22	18,10	256,32
20.926	21.150	243,13	18,10	261,23
21.151	21.375	248,09	18,10	266,19
21.376	21.600	253,10	18,10	271,20
21.601	22.050	260,71	18,10	278,81
22.051	22.500	271,03	18,10	289,13
22.501	22.950	281,55	18,10	299,65
22.951	23.400	292,27	18,10	310,37
23.401	23.850	303,19	18,10	321,29
23.851	24.300	314,31	18,10	332,41
24.301	24.750	325,62	18,10	343,72
24.751	25.200	337,14	18,10	355,24
25.201	25.650	348,86	18,10	366,96
25.651	26.100	360,78	18,10	378,88
26.101	26.550	372,90	18,10	391,00
26.551	27.000	385,21	18,10	403,31
27.001	27.450	397,73	18,10	415,83
27.451	27.575	405,83	18,10	423,93

Standard rent single household (> 65)

Ondergrens	Bovengrens	Normhuur	Taak	Basishuur
0	14.225	183,03	18,10	201,13
14.226	14.450	193,65	18,10	211,75
14.451	14.675	201,45	18,10	219,55
14.676	14.900	209,40	18,10	227,50
14.901	15.125	217,50	18,10	235,60
15.126	15.350	225,75	18,10	243,85
15.351	15.575	234,15	18,10	252,25
15.576	15.800	242,69	18,10	260,79
15.801	16.025	251,38	18,10	269,48
16.026	16.250	260,21	18,10	278,31
16.251	16.475	269,19	18,10	287,29
16.476	16.700	278,32	18,10	296,42
16.701	16.925	287,60	18,10	305,70
16.926	17.150	297,03	18,10	315,13
17.151	17.375	306,60	18,10	324,70
17.376	17.825	321,23	18,10	339,33
17.826	18.250	340,70	18,10	358,80

Standard rent more persons household (> 65)

Ondergrens	Bovengrens	Normhuur	Taak	Basishuur
0	18.375	181,22	18,10	199,32
18.376	18.450	189,83	18,10	207,93
18.451	18.675	193,71	18,10	211,81
18.676	18.900	199,60	18,10	217,70
18.901	19.125	205,58	18,10	223,68
19.126	19.350	211,64	18,10	229,74
19.351	19.575	217,78	18,10	235,88
19.576	19.800	224,01	18,10	242,11
19.801	20.025	230,32	18,10	248,42
20.026	20.250	236,72	18,10	254,82
20.251	20.475	243,21	18,10	261,31
20.476	20.700	249,78	18,10	267,88
20.701	20.925	256,43	18,10	274,53
20.926	21.150	263,17	18,10	281,27
21.151	21.375	270,00	18,10	288,10
21.376	21.825	280,39	18,10	298,49
21.826	22.275	294,55	18,10	312,65
22.276	22.725	309,04	18,10	327,14
22.726	23.175	323,88	18,10	341,98
23.176	23.625	339,05	18,10	357,15
23.626	24.075	354,57	18,10	372,67
24.076	24.275	365,98	18,10	384,08

6. Family benefits

6.1 Conditions for receipt

All children under 18 qualify for child benefits.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Children born from 1 January 1995

In EUR per child, per 3 months

Age	2006
0-6 years	190.19
6-12 years	230.95
12-18 years	271.70

Children born before 1 January 1995

In EUR per child, per 3 months

Families with	2007
	Age 12-18 (100%)
1 child	271.70
2 children	305.54
3 children	316.82
4 children	341.61
5 children	356.48
6 children	366.40

6.2.2 *Income and earnings disregards*

These benefits are not income related; they are not included in any means test.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

6.4 *Treatment of particular groups*

6.4.3 *Others if applicable*

Since 1 May 1997 parents of handicapped children can get a supplementary benefit, as a partial compensation of the extra costs (TOG-arrangement). Age of the children: 3-18 years. Benefit for parents of handicapped children (mental and physical): EUR 206.24 per 3 months.

7.1 *Out-of-pocket childcare fees paid by parents*

Childcare Act 2005

A new law, the Childcare Act, went into effect on January 1st 2005. This law reformed the childcare system. 'Demand-side funding' provided via parents replaced 'supply-side funding' mainly provided by the municipal authorities. The direct subsidising of facilities has ceased as a result. This means that childcare organisations are subject to market forces. Childcare facilities compete in terms of price and quality, since parents will be able to opt for a different care establishment if the price is too high or if the quality is found wanting. This law applies to day care centres (0-4 years), day care outside school hours (4-12 years) and family day care. Primary education starts at 4 years and is mandatory at 5. In 2007 40% of the children in the age up to 4 years visit day care and 12% of the children in the age of 4-12 years visits after-school care.

Finance

The Childcare Act provides for a new method of financing childcare. The act assumes that parents, employers and government collectively bear the costs of childcare. The employer's contribution was meant to be voluntary and part of collective labour agreements. The target figure was that in 2008 90% of employees would be able to receive a full contribution for childcare from their employer. Monitoring of the development of collective labour agreements on employer's contributions to childcare led to the conclusion that this target would not be reached. Therefore an obligatory employer's contribution was introduced in 2007. Since 2006 the costs for parents have been reduced by increasing the subsidie from the government.. On a macro-level, parents (all together) pay some 20% of the costs, the government and employers about 80%.

Through the Tax Department parents receive the subsidie that the government contributes to childcare themselves, this includes also the employers's contribution. The amount parents receive depends on their

income and varies from 96,5% of the costs to 33, 3% for the first child, and varies from 96,5% of the costs to 90,7% for next children.

7.2 *Child-care benefits*

The benefit parents can receive are described in 7.1

7.2.1 *Conditions for receipt*

Parents have to meet the following conditions in order to receive the child-care benefit:

- Working parents, including single working parents;
- Parents in a reintegration traject to work;
- Immigrants taking part in a integration course;
- Child care is needed because of social-medical reasons
- Use of formal day care that complies to standard quality regulations.

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

1. The benefit is calculated as a percentage of the total costs of the child care starting with a contribution of 96,5% of the costs at an annual income up to € 16.000 going down in 40 steps to 33,3% at an income more than € 130.000 for the first child; and a contribution of 96,5% of the costs at an annual income up to € 16.000 going down in 40 steps to 90,7% at an income more than € 130.000 for next children. [bekostigingsbeluit 2007.pdf](#)

7.2.2.2 Income and earnings disregards

7.2.3 Tax treatment of benefit and interaction with other benefits

The childcare benefit is not taxable

7.2.4 *Treatment of particular groups*

see 7.2.1.

8. Employment-conditional benefits

An extra single-parent tax credit exists for working lone parents and a tax-credit for all working parents (see section 10.1.1).

8.1 *Conditions for receipt*

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

9. Lone-parent benefits

There is a special tax credit (see section 10), and lone parent families have a specific minimum basic benefit rate (see section 4), but specific benefits do not exist. (see section 10).

9.1 *Conditions for receipt*

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

9.2.2 *Income and earnings disregards*

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular group*

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

[e.g. immigrants, part-time employees, self-employed, disabled]

10. Tax system

10.1 Income tax

There are three categories ('boxes') of taxable income:

- Taxable income from work and owner-occupied housing
- Taxable income from a substantial interest in a limited liability company
- Taxable income from savings and investments.

This description is limited to most relevant aspects of taxable income from the first category, 'taxable income from work and owner-occupied housing', because of its relevance for the AW.

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Related to wage earnings:

- Employees' social security contributions are deductible with the exception of the health insurance contribution. The employers' health insurance contribution is subject to tax.
- For distances of more than 10 km between home and work, fixed amounts for travel expenses with public transportation are deductible. The maximum deduction for employees who travel by public transport is EUR 1 816 for distances of more than 80 km. If the travel expenses are reimbursed or the employer provides transport, there is no deduction; the reimbursement is untaxed (also for employees who travel by car) if below certain specified amounts.
- Employee contributions to private (company provided) pension schemes.

Related to owner-occupied housing:

- Excess of mortgage interest over net imputed rent.

Related to personal circumstances:

- *Medical expenses and other exceptional expenses:* for a single person the expenses are deductible in excess of 11.5 per cent of the income are deductible if income exceeds EUR 6 896. If the income is lower than or equal to EUR 6 783 the non-deductible limit is EUR 780. For a person with a partner, the joint income is used to determine the non-deductible amounts.

- *Some educational expenses:* in direct connection with vocational education. Expenses above the threshold of EUR 500 are deductible. Expenses above EUR 15 000 are not deductible;
- Donations to certain institutions (charity) that serve the public good are deductible if in excess of 1 per cent of the income and in excess of EUR 60. No more than 10 percent of the income may be deducted in this way.

10.1.1.2 Standard tax credits

The tax credits are applied to the combined amount of income tax levied and premiums paid for the general social security schemes (see Section 1.13). The share of the credit attributed to tax is related to the ratio of the tax rate to the sum of the tax rate and the social security contributions rate in the first bracket of the tax schedule. Because this ratio is currently 7.4 percent ($= 2.5\% / (2.5\% + 31.15\%)$), only 7.4 percent of the (tax) credit is attributed to tax; the remaining 92.6 percent being attributed to social security contributions. In the country tables the social security contributions on taxable income are net of credits.

- *General tax credit.* This credit amounts to EUR 2 043.
- *Work credit:* This credit is the sum of 1.78 percent of the income from work with a maximum of EUR 148 and 12.354 per cent of the income from work with a franchise of EUR 8 312. The maximum work credit is EUR 1 392;
- *Child credit:* A single parents or taxpayers with children below 18 years of age receive a credit of EUR 939 if their income does not exceed EUR 28 978. A taxpayer with a partner is only entitled to the child credit if his or her income exceeds the income of the partner and the joint income does not exceed EUR 45 309; If their single or joint income is higher than EUR 28 978 and lower than EUR 45 309 the child credit declines with 5.75% of the difference between the joint income and EUR 28 978.
- *Combination credit:* A taxpayer with children below the age of 12 years is entitled to a combination credit of EUR 149, if his/ her income from work exceeds EUR 4 475;
- *Additional combination credit:* A taxpayer who is entitled to the combination credit and who is either a single parent or the partner with the lowest income receives an additional credit of EUR 700.
- *Single parent credit:* A single parent under certain conditions is entitled to the single parent credit of EUR 1 437;
- *Additional single parent credit:* A single parent who is entitled to the single parent credit receives an additional credit of 4.3 per cent of his or her income from work, with a maximum of EUR 1 437.
- The amount of the tax credit is limited to the amount of tax and premiums payable (non-refundable tax credit). If, however, a taxpayer with insufficient income to fully exploit his/her tax credit has a partner with a surplus of tax and premiums payable over his/her own tax credit, the tax credit of the former taxpayer is increased by (at most) the surplus tax and premiums payable by his/her fiscal partner. As a consequence, the tax credit of the former taxpayer will exceed tax and premiums payable, resulting in a payout of the residual tax credit to the taxpayer by the tax authority.

10.1.2 *Income tax schedule*

The tax schedule for income from work and owner-occupied housing is as follows:

Slice of Taxable Income (EUR)	Tax Rate (%)	Social securities contributions	
		< 65 years	> 65 years
0 – 17 319	2.50	31.15	13.25
17 319 – 31 122	10.25	31.15	13.25
31 122 – 53 064	42	-	-
53 064 and over	52	-	-

The contributions for the general social security schemes are levied on income from work and owner-occupied housing in the first and second income tax bracket. These social security contributions are not deductible for income tax purposes. Individuals of 65 years and older pay 13.25 per cent (for widows and orphans pensions and exceptional medical expenses); individuals younger than 65 years pay 31.15 per cent (for widows and orphans pensions, exceptional medical expenses, and old age income provision). For further information see Section 2.1.

10.1.3 *State and local income taxes*

None.

10.2 *Treatment of family income*

Husband and wife are taxed separately on their personal income, which includes, besides income from business, profession and employment, all pensions and social security benefits. Certain parts of income may be freely split between husband and wife, such as the net-income from owner-occupied housing and the income from savings and investments.

10.3 *Social security contribution schedule*

Employees' contributions:

- Unemployment: 3.85 per cent of gross wage less compensation allowance (ceiling EUR 45 017) with a franchise of EUR 15 660 (this contribution is only for the general unemployment fund).
- For basic insurance each adult pays a fixed amount of EUR 1 012 a year. Also a percentage 6.5 per cent of gross earnings is paid until a maximum of gross earnings of EUR 30623. For the last contribution, an employee receives mandatory compensation of his employer for the same amount. This amount is included in the taxpayer's taxable income. Furthermore, taxpayers can receive the "care benefit". This cash transfer depends on de household situation and income compensation. The care benefit is calculated as follows:

- 1. Single parent households: $1059 - 3.5 \text{ per cent} * 17\,905 - 5 \text{ per cent} * (\text{taxable income} - 17\,905)$
- 2. Married couples: $\text{number of adults} * 1059 - 5.00 \text{ per cent} * 17\,905 - 5 \text{ per cent} * (\text{taxable income} - 17\,905)$.
- As of January 2006, a new insurance system for curative healthcare came into force in the Netherlands. Under the new Health Insurance Act (Zorgverzekeringswet), all residents of the Netherlands are obliged to take out a health insurance.

Employers' contributions:

- Unemployment: 4.4 per cent of gross earnings between EUR 15 660 and EUR 45 017 for the general unemployment fund and a contribution of 1.27 per cent of gross earnings below EUR 45 017 for the industrial insurance associations redundancy payments fund;
- Invalidity: 6.38 per cent of gross earnings below EUR 45 017;
- For medical care employers contribute 6.5 per cent of gross earnings until a maximum of gross earnings of EUR 30 623.

Private insurance, social conditions

The new system is a private health insurance with social conditions. The system is operated by private health insurance companies; the insurers are obliged to accept every resident in their area of activity. A system of risk equalisation enables the acceptance obligation and prevents direct or indirect risk selection.

The insured >18 pay a nominal premium to the health insurer (average in 2006 €1038). Everyone with the same policy will pay the same insurance premium. The Health Insurance Act also provides for an income-related contribution to be paid by the insured. Employers contribute by making a compulsory payment towards the income-related insurance contribution of their employees (both 6,5% of taxable income with maximum at an income of €30623). This is the same for unemployed and disabled people (they also receive the compulsory payment). Other insured without employer pay 4,4% of taxable income.

Essential healthcare

The new health insurance comprises a standard package of essential healthcare. The package provides essential curative care tested against the criteria of demonstrable efficacy, cost effectiveness and the need for collective financing.

Former situation

Before 2006, there were two types of health insurances: compulsory and voluntarily. Employees, people entitled to a social benefit and self-employed people with incomes to a certain level were compulsorily insured under the Social Health Insurance Act (Ziekenfondswet). People on a higher income could choose to either take out a private health insurance or to go through life uninsured.

General schemes (levied combined with income tax on income from work and owner-occupied housing):

- Old age pension: 17.9 per cent of taxable income in the first and second tax bracket. This scheme does not apply to individuals aged 65 or over;
- Widows and orphans pension: 1.25 per cent of taxable income in the first and second tax bracket;
- Exceptional medical expenses and disability: 12.55 per cent of taxable income in the first and second tax bracket.

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

[e.g. **part-time employees**]

11. Part-time work

[please update information provided for previous years]

11.1 *Benefit rules for part-time work*

Seasonal workers have different qualifying conditions for the basic unemployment insurance benefit.

11.2 *Special tax and social security contribution rules for part-time work*

12. Policy developments

[please update information provided for previous years]

12.1 *Policy changes introduced during the previous year*

UB system has changed. Changes are included in the description.

12.2 *Policy changes announced*